

1.

CASE #	CASE NAME	HEARING NAME
CVRI2301171	PAYAN VS PAYAN	MOTION TO COMPEL

Tentative Ruling:

Factual / Procedural Context:

Plaintiff, Daryl Payan, alleges he and Defendant, Rosina Payan (Rosina), each own a one-half undivided interest as joint tenants in certain real properties known as 18458 Eucalyptus Avenue in Lake Elsinore. Plaintiff filed his Complaint on 3/8/23 alleging a single cause of action for partition and accounting. An Order and Judgement by Stipulation of Settlement was entered on 8/18/25.

Plaintiff, Daryl Payan (Daryl), brings this motion to enforce the stipulated Judgment entered on 8/18/25. (CCP § 664.6.) Under the settlement, Daryl asserts he was obligated to transfer his interest in the property to Rosina, and in exchange she was obligated to pay him \$20,000, *and* she had to refinance the property to have Daryl's name removed from the mortgage. Daryl transferred the property to Rosina, but she has not made the \$20,000 payment nor has she refinanced the property, despite demands from Daryl's counsel. Daryl asserts Rosina refuses to comply because she claims he committed waste, but she has not established this claim. Daryl also argues that Rosina is judicially estopped from renouncing the settlement agreement. As a result, Daryl brings this motion for the Court to require Rosina to comply with the Judgment.

Defendant, Rosina, opposes the motion arguing that Daryl failed to mention in his motion that he caused over \$53,000 in documented damages to the property after the Judgment was entered by this Court. Rosina asserts that the only remaining obligation is the \$20,000 payment, which is excused by Daryl's material breach, extinguished by equitable offset, and/or barred by the doctrine of unclean hands. Rosina also asserts that she was not required to refinance the property – she was required to release claims regarding the vacant lot, which she did; that even though she is not required to by the Judgment, she is refinancing the property to remove Plaintiff's name from the loan; that since Judgment has already been entered, a second contrary judgment is not permitted; and, that judicial estoppel does not apply here because Rosina has substantially performed.

No reply was filed.

Analysis:

CCP § 664.6 provides, "If parties to pending litigation stipulate, in a writing signed by the parties outside the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the

settlement.” The statute was enacted to provide a summary procedure for specifically enforcing a valid and binding settlement agreement without the need for a new lawsuit. (*Weddington Productions v. Flick* (1998) 60 Cal.App.4th 793, 809.)

“[T]he trial court is empowered under section 664.6 to resolve reasonable disputes over the terms of the settlement.” (*Machado v. Myers* (2019) 39 Cal.App.5th 779, 794.) The court may receive extrinsic evidence, including declarations and oral testimony, to determine whether a settlement agreement has been entered into by the parties. (*Corkland v. Boscoe* (1984) 156 Cal. App. 3d 989, 994; *Fiore v. Alvord* (1985) 182 Cal.App.3d 561, 565-66 [when ruling on a motion under section 664.6, “the court in effect acts as a trier of fact”].) However, “[w]hile the court may interpret the terms of the parties’ settlement agreement, ‘nothing in section 664.6 authorizes a judge to create the material terms of a settlement, as opposed to deciding what terms the parties themselves have previously agreed upon.’” (*Leeman v. Adams Extract & Spice, LLC* (2015) 236 Cal.App.4th 1367, 1374.) The court’s factual findings on a motion to enforce a settlement pursuant to section 664.6 “are subject to limited appellate review and will not be disturbed if supported by substantial evidence.” (*Williams v. Saunders* (1997) 55 Cal.App.4th 1158, 1162.)

Here, there is no dispute that a judgment has already been entered. On 8/18/25, an Order and Judgment by Stipulation of Settlement (8/18/25 Judgment) was filed. It provides that Rosina filed a motion “to enforce the Settlement Agreement and enter judgment against Plaintiff DARYL PAYAN” pursuant to CCP § 664.6. (8/18/25 Judgment.) The Court found there was a Settlement Agreement reached as of 3/25/25, that the Court has jurisdiction to enforce it, and granted the motion to enter judgment in Rosina’s favor. (*Id.*) The Judgment itself provides for Daryl to execute a grant deed conveying his interest in the subject real property to Rosina as her sole and separate property within five days; that Rosina shall pay Daryl \$20,000 within ten days of receipt of the executed grant deed; that Rosina “shall dismiss with prejudice all claims relating to the vacant lot property (APN 390-070-026)” within five days of Plaintiff’s execution of the grant deed; that the Clerk of the Court could execute the grant deed if Daryl failed to timely execute and deliver the grant deed; that Daryl would pay attorneys’ fees (\$2,583.07) to Rosina’s counsel; that once the terms were completed, the action would be dismissed, with prejudice; and that the Court retains jurisdiction to enforce the terms under CCP § 664.6. (*Id.*)

In his motion, Daryl argues that Rosina failed to pay him the \$20,000 and failed to refinance the subject property to remove his name from the mortgage. The Judgment itself does not require Rosina to refinance the property to remove Daryl’s name. As a result, this “term” cannot be enforced. To do so would be improper as it would create a material term that the parties did not agree to. (see *Leeman, supra*. 236 Cal.App.4th at 1374.) Thus, the sole remaining obligation is Rosina’s \$20,000 payment to Daryl. Rosina does not dispute that she owes him this money. Instead, Rosina claims she is entitled to an offset due to Daryl’s post-judgment misconduct in which he entered onto her property and caused over \$53,000 in damages including tearing down the attached patio cover, destroying the deck, and causing extensive structural damage to the roof for which law enforcement was called.

Rosina makes three arguments for the Court to deny this motion. First, Rosina argues that “Plaintiff’s prior material breach excuses the \$20,000 payment.” (Oppo. p. 7:3-13.) She asserts that she expected to receive the property in its existing condition. Judgment was entered on 8/18/25. On 9/19/25, the Court appointed an elisor to sign the grant deed because Daryl was not cooperating. However, Daryl did not cause the damage prior to the property transfer. Rosina acknowledges the damage was done on 10/17/25, two months after the Court ordered the transfer. Rosina’s argument here is based on contractual obligations in the settlement agreement but, the settlement agreement was entered as a Judgment. As such, Daryl did not “breach” the terms stated in the Judgment.

Second, Rosina argues that she is entitled to an equitable offset, which effectively extinguishes the \$20,000 obligation. She argues that “either party to a transaction involving mutual debts and credits can strike a balance, holding himself owing or entitled only to the net difference.” (*Granberry v. Islay Investments* (1995) 9 Cal.4th 738, 744.) She adds that CCP § 431.70 “codifies the statutory right of setoff.” However, Rosina is improperly asserting her “right to setoff in a post judgment motion, not as an affirmative defense in an answer to a complaint. Therefore, section 431.70 does not provide a basis” for a setoff motion. (*David S. Karton, a Law Corp. v. Musick, Peeler & Garrett, LLP (Karton)* (2022) 83 Cal.App.5th 1027, 1042.)

The *Karton* Court also briefly discussed that a judgment debtor could make a demand on a judgment creditor to file an acknowledgment of satisfaction of judgment (followed by a motion to compel) but there are pre-filing requirements that must be followed. (*Id.* citing CCP § 724.050.) Those requirements were not followed. (*Ibid.*)

The *Karton* Court further noted case authority where courts have considered equitable setoff principles in various factual and procedural settings. (*Id.* at 1043 citing *Erlich v. Sup. Ct.* (1965) 62 Cal.2d 551, 555-556, among others.) However, the Court stated: “None of these authorities, however, holds that a judgment debtor may use a nonstatutory postjudgment motion to obtain an offset against its judgment debt based on disputed claims.” There, as here, the judgment debtor (Rosina) has not provided a valid procedural ground for an offset under the circumstances presented here.

Third, Rosina argues that Daryl’s motion should be denied based on the doctrine of unclean hands. Unclean hands applies when a party acts wrongfully and seeks to take advantage of his own wrongful conduct. (Civil Code § 3517.) “The doctrine of “unclean hands” applies equally to law and equity, and “demands that a plaintiff act fairly in the matter for which he seeks a remedy. He must come into court with clean hands, and keep them clean, or he will be denied relief regardless of the merits of his claim.” (*DD Hair Lounge, LLC v. State Farm General Ins. Co.* (2018) 20 Cal.App.5th 1238, 1246 citing *Kendall-Jackson Winery, Ltd. v. Sup. Ct.* (1999) 76 Cal.App.4th 970, 978.) While it is often offered as an affirmative defense, the doctrine of unclean hands “actually exists to promote the court’s interest in “protect[ing] judicial integrity and promot[ing] justice” by preventing a wrongdoer from benefitting from his or her misconduct.” (*Ibid.*) “The primary requirement for application of “unclean hands” doctrine is that the misconduct must relate directly to the “cause at issue.” (*Ibid.*)

Here, Rosina has established that Plaintiff (Daryl) engaged in misconduct including destruction of the patio cover, roof damage, and trash dumping on the property that was the subject of the settlement agreement and subsequently entered Judgment. (Dec. Rosina Payan ¶¶ 7-16, Exs. “1” – “5”.) Daryl is seeking to enforce Rosina’s obligation to pay him \$20,000 for property that he severely damaged or destroyed *after* he was ordered to transfer it. (*Id.* ¶¶ 16-18, 20.) Notably, Daryl has not filed a reply nor presented any evidence contradicting Rosina’s declaration of events or providing an explanation of any kind. Thus, Rosina has established Daryl brought this motion with unclean hands and should not benefit from his misconduct. Based on the foregoing, the motion to enforce the Judgment is denied.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2301435	SAVIN ENTERPRISES, INC VS CRANE DEVELOPMENT CORPORATION	MOTION TO ENFORCE STIPULATION AND ORDER TO PROCEED WITH ARBITRATION; REQUEST FOR SANCTIONS; AND ALTERNATIVE MOTION TO DISMISS FOR FAILURE TO PROSECUTE

Tentative Ruling:

Savin Enterprises, Inc. (“Savin”) entered into a written contract with Crane Development Corporation (“Crane”). Under the agreement, Plaintiff was to supply labor and materials for the application of lath and plaster to a construction project. Plaintiff alleges that it is owed \$1,233,711 under this agreement.

The complaint asserts the following causes of action: (1) breach of contract, and (2) foreclosure on mechanics lien. This lawsuit is also asserted against Stalder Plaza, LP, who appears to have an interest in the property where the project was built.

Crane has filed a cross-complaint against Savin. Crane alleges that Savin caused delays to the project, which resulted in damages. Crane asserts that it had to hire another subcontractor to finish Crane’s work, which caused it additional expenses. The cross-complaint asserts the following causes of action: (1) breach of written contract, (2) fraud or deceit – intentional misrepresentation, (3) fraud or deceit – concealment, and (4) declaratory relief.

A stipulation and order was entered on 9/19/23, which required this matter to proceed in arbitration.

Crane brings this motion. It contends that Savin has refused to execute an arbitration agreement with Judicate West. It seeks a court order compelling Savin to comply with the stipulation and order entered on 9/19/23. It asks for sanctions in the amount of \$6,888.00 under CCP § 128.5. In the alternative, it asks that the court dismiss Savin’s lawsuit.